Central Banks and the Federal Reserve System

Chapter 13

Econ 351 – Monetary Economics

University of Tennessee, Knoxville

August 24, 2026

Preview

This chapter considers central banks' structure and activities, focusing primarily on the Federal Reserve System of the United States.

Three questions: Why was the Fed created? How is it organized? What tools does it use?

Marriner S. Eccles Federal Reserve Board Building, Washington, D.C. – home of the Board of Governors.

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Outline

Origins of the Federal Reserve System

Structure of the Federal Reserve System

Major Policy Tools of the Federal Reserve

Origins of the Fed

Problems Before the Fed

- **Financial instability** –frequent banking crises
- **No uniform currency** –banks issued their own notes
- **Bank runs and panics** –no central authority to stabilize banks
- **Major economic depressions** –1837, 1873, 1893
- **Panic of 1907** –the final trigger for Fed creation

Resistance to a Central Bank

- Fear of **centralized power**
- Distrust of **Wall Street and large banks**
- No lender of last resort to stop panics
- Repeated nationwide banking crises

The Panic of 1907: A Key Turning Point

Trigger

- October 1907: **Knickerbocker Trust collapsed**
- Failure linked to speculation in United Copper Company
- Led to bank runs and financial panic

Financial Crisis

- No central bank to stabilize the system
- Panic caused stock market collapse and credit freeze

J.P. Morgan's Intervention

- Organized private bankers to provide emergency liquidity

Knickerbocker Trust Company, New York – its collapse in October 1907 set off the panic.

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The crisis convinced policymakers that the U.S. needed a **central bank**.

Challenges in Establishing a Central Bank

Political Concerns

- Fear that Wall Street would control the central bank
- Concerns about excessive government control

Institutional Debate

- Should the central bank be **private or government-controlled**?
- How to balance **national authority and regional interests**?

Design a central bank with **power to stabilize the economy** without concentrating too much political or financial power.

The Creation of the Federal Reserve (1913)

Aldrich Plan (Failed Proposal)

- Proposed by Senator **Nelson Aldrich**
- Suggested a centralized national bank (European-style)
- Failed due to distrust of banker control

Federal Reserve Act of 1913

- Signed by President **Woodrow Wilson**
- Created the **Federal Reserve System**
- Established **12 regional Federal Reserve Banks**
- Designed with checks and balances

Create a central bank that could stabilize the financial system while limiting concentration of power.

Outline

Structure of the Federal Reserve System

Design of the Federal Reserve

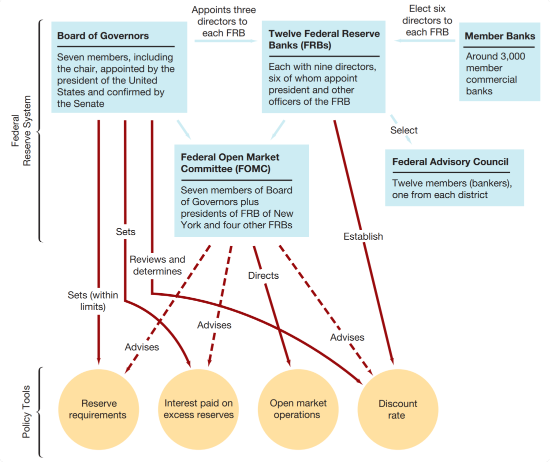
- The Federal Reserve was designed to balance **regional, private, and government interests**.
- Multiple institutions work together to:
  - Conduct **monetary policy**
  - Supervise and regulate **banks**

The Fed is a **decentralized central bank** with both public and private elements.

Main Institutions

- **Federal Reserve Banks** (12 regional banks supervising local financial systems)
- **Board of Governors** (7 members appointed by the President)
- **Federal Open Market Committee (FOMC)** (sets monetary policy)
- **Federal Advisory Council** (advises the Board of Governors)
- **Member Banks** (commercial banks participating in the Fed system)

Structure and Tools of the Fed



The five institutions of the Federal Reserve System and the policy tools each controls.

Mishkin, The Economics of Money, Banking, and Financial Markets

Federal Reserve Banks

Institutional Nature

- Federal Reserve Banks are **quasi-public institutions**
- Owned by **member commercial banks** in each district
- Member banks **hold stock** in their regional Reserve Bank

Regional Structure

- The U.S. is divided into **12 Federal Reserve districts**
- Each district operates a **Federal Reserve Bank**
- Regional banks **supervise and support** financial institutions

- **New York, Chicago, and San Francisco** account for over **50% of Fed assets**
- The **New York Fed** plays a **central role** in financial markets

Governance of Federal Reserve Banks

Board of Directors

- Each district has **9 directors**
- **6 elected** by member banks
- **3 appointed** by the Board of Governors

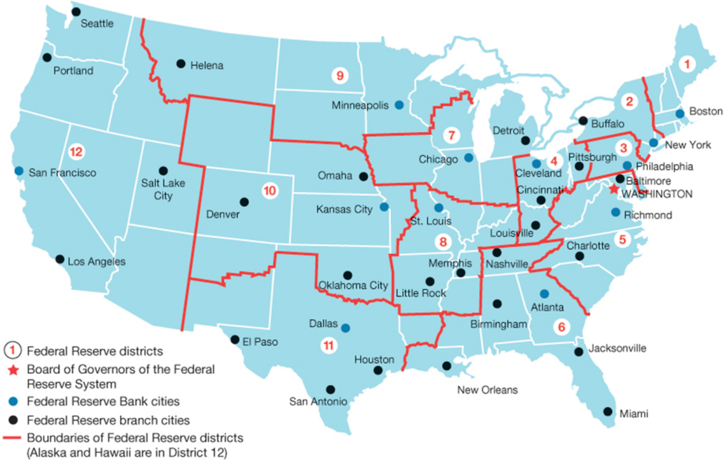
Director Classes

- **Class A (3):** Professional bankers
- **Class B (3):** Representatives from industry, labor, agriculture, or consumers
- **Class C (3):** Appointed by the Board; **no bank affiliation allowed**

Leadership

- Directors appoint the **bank president**
- Subject to approval by the **Board of Governors**

The Twelve Federal Reserve Districts



The 12 Federal Reserve districts, their Reserve Banks and branches, and the Board in Washington.

Mishkin, The Economics of Money, Banking, and Financial Markets

Special Role of the New York Fed

Why Is the New York Fed Important?

- Located in the largest U.S. financial center
- Plays a central role in **bond and foreign exchange markets**
- Represents the U.S. at the **Bank for International Settlements (BIS)**

The President of the New York Fed is the **only permanent voting regional member of the FOMC**.

Federal Reserve Bank of New York, 33 Liberty Street – the Fed's trading desk and the world's largest gold vault are here.

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Functions of the Federal Reserve Banks

Policy Responsibilities

- Propose the **discount rate** (subject to Board approval)
- Provide **discount loans** to banks
- Participate in **FOMC decision-making**
- Select representatives for the **Federal Advisory Council**

Banking System Operations

- **Clearing checks** between banks
- **Issuing new currency**
- Supervising **bank mergers**
- Collecting **economic data**

Board of Governors

Structure

- Located in **Washington, D.C.**
- **7 members** appointed by the President
- Serve **14-year terms** to ensure independence

Responsibilities

- Set **reserve requirements**
- Set the **discount rate**
- Approve policies of Federal Reserve Banks
- Provide economic guidance to the government

Chair of the Board of Governors

Policy Role

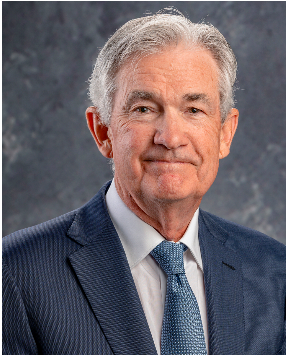
- Advises the President on **economic policy**
- Testifies before **Congress**

Communication Role

- Serves as the **public voice** of the Federal Reserve
- Communicates policy to the **media and financial markets**

International Role

- Represents the U.S. in **international economic discussions**
- Engages with **foreign governments and central banks**



Jerome H. Powell, Chair of the Board of Governors since 2018.

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Federal Open Market Committee (FOMC)

Composition

- **7 Board of Governors**
- **President of the New York Fed**
- **4 rotating regional Fed presidents**

Responsibilities

- Meets **8 times per year**
- Sets the **federal funds rate**
- Conducts **open market operations**

An FOMC meeting in the Board room of the Eccles Building, April 2016.

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Member Banks and the Federal Advisory Council

Membership Rules

- **National banks** must join the Fed
- **State banks** may choose to join
- About **40% of U.S. commercial banks** are members

Responsibilities

- Hold stock in their regional Federal Reserve Bank
- Comply with **reserve requirements**
- Access Fed services (discount window, check clearing)

Federal Advisory Council

- 12 representatives (one from each Federal Reserve district)
- Advises the **Board of Governors** on banking conditions; has **no direct policymaking authority**

Outline

Four Major Policy Tools of the Federal Reserve

Open Market Operations (OMO)

- Buying and selling **government securities**
- Controls **money supply and interest rates**
- Conducted by the **New York Fed** under FOMC direction

Discount Rate

- Interest rate charged on **Fed loans to banks**
- Influences short-term **credit conditions**

Reserve Requirements

- Percentage of deposits banks must hold as reserves
- Determines how much banks can **lend**

Interest on Excess Reserves (IOER)

- Interest paid on reserves held beyond required levels
- Used to influence **bank lending incentives**

These tools allow the Fed to influence **money supply, interest rates, and economic activity**.

Chapter summary

- Repeated banking panics (culminating in 1907) and fear of concentrated power shaped the Federal Reserve Act of 1913.
- The Fed is a **decentralized central bank**: 12 regional Reserve Banks, the Board of Governors, the FOMC, the Federal Advisory Council, and member banks.
- The Board of Governors (7 members, 14-year terms) sets reserve requirements and the discount rate; the FOMC (Board + NY Fed president + 4 rotating presidents) sets the federal funds rate.
- The New York Fed conducts open market operations and is the only regional bank with a permanent FOMC vote.
- Four policy tools: open market operations, the discount rate, reserve requirements, and interest on excess reserves.